CHAPTER 6

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Advertising Avenues in the Digital World: Overview and Strategy

LEARNING OBJECTIVES

After completing this chapter, you will be able to:

- Explain the concept and significance of digital advertising.
- Analyze the recent developments and trends in digital advertising.
- Examine the advertising ecosystem and the role played by different entities.
- Appraise different types of digital advertising and their execution strategies.
- Explore various targeting options in the context of digital advertising.
- Learn to create a strategic advertising plan.

6.1 Introduction

Digital advertising has been growing expeditiously. New advertising technology platforms, advances in targeting methods, ways to engage customers across channels, and retargeting possibilities provide marketers with endless opportunities to engage customers through digital advertising. These advancements and rapid changes have made advertising even more challenging, and when executed poorly, they can lead to low engagement and irritated buyers.

Digital advertising has witnessed rapid and transformative growth, driven by innovative advertising technology platforms, enhanced targeting techniques, multi-channel customer engagement strategies, and advanced retargeting options. These developments have opened up limitless opportunities for marketers to connect with audiences more effectively. However, the fast-paced evolution of digital advertising has also made it increasingly complex, and poorly executed campaigns can result in minimal engagement and frustrated consumers. To thrive in this dynamic landscape, marketers must continuously adapt their strategies and embrace data-driven insights to create meaningful connections with their target audience. With advancements in digital marketing technologies, it's now possible to zero in on prospects based on specific demographics, intent, and other criteria across display and social networks, search engines, and more.

This chapter aims to provide a thorough overview of the digital advertising landscape and help you understand how to create well-targeted and engaging campaigns across digital marketing channels.

6.2 What Is Digital Advertising?

Simply put, digital advertising can be defined as leveraging the Internet and its properties to deliver promotional ads to consumers on various digital channels. These channels can include online news, content, and other publisher websites; search engines; social networks; mobile apps and games; and any other platform on which advertisers can buy media space.

6.3 Evolution of Digital Advertising

Digital advertising has evolved considerably since the first banner ad was released in 1994. (See Historical Trivia.) Today, digital ads are almost everywhere—on websites (including social media platforms) across the Internet, mobile devices and apps, smartwatches, and other gadgets we wear. Gradually, we are seeing them on connected billboards, digital signages, and other out-of-home media, often dynamically changing the ads based on the time of day, traffic conditions, and the person watching the ad. With newer developments like Internet of Things (IoT), technology is already present to advertise across electronic devices and will likely become mainstream shortly.

Historical Trivia!

The First Banner Ad

On October 27, 1994, HotWired.com (a website owned by *Wired* magazine) published 14 banner ads, including a famous ad from AT&T. Each ad measured 468 pixels wide and 60 pixels deep. Legend has it that the first of these ads was from AT&T. The ad asked, "Have you ever clicked your mouse right HERE? You will." The ad opened up a synchronized page, which read, "You did! Now let's see what else you'll do." Since then, banner ads and related technology have significantly evolved. The first ad server was launched by NetGravity in 1996, and Google AdWord (now Google Ads) showed the first ad in 2002. While YouTube came up with its first ad in 2005, followed by Facebook, which started advertising in 2007. The first AT&T ad can be viewed at www.thefirstbannerad.com

These developments might look overwhelming, as pages with banner advertisements opened quickly just over two decades ago, with dial-up internet connections being standard. Today, TV is no longer the primary media, as we spend hours looking at mobile phones and other smart devices and often use multiple devices simultaneously. Digital advertising has evolved alongside consumers' insatiable appetite for online content.

6.4 Advancements That Have Transformed Digital Advertising

The key advancements that have paved the way for innovative strategies across various aspects of digital advertising, include:

- **Data and targeting**: Until recently, marketers primarily used demographic information to target prospective customers. That is no longer the case. Ad platforms' advanced data and behavioral tracking capabilities give marketers umpteen options to show advertisements to granularly targeted niche segments. Today, marketers can target based on precise location, behavior, content viewed, industry, segment/persona, browser, device, and more. With marketing automation tools, social media sites, and mobile apps, one can get even more personalized ad content, targeting consumers in real time.
- **Rich media formats and native advertising**: Advertising formats have grown sporadically. In the past, ads were offered merely in text format; today, there are endless options, from static image ads in various sizes to ads with interlaced images (GIF) to video ads. Moreover, newer formats offering dynamic and interactive capabilities are more likely to engage the audience. Another leap in advertising has been the introduction of native advertising. Unlike the past, where digital ads have often been intrusive and annoying—specifically pop-up and interstitial ads—native advertising is designed to look and feel like the content on the page. Thus, native ads are much less intrusive and

provide a seamless experience to the viewers. Exhibit 6.1 discusses native advertising in detail.

- **Programmatic advertising:** The advancement of digital marketing technologies has enabled advertisers to buy ad inventory programmatically. Programmatic advertising uses complex technologies that help marketers by automating various functions such as inventory buying, ad placement, and advertising optimization. In other words, it makes advertising more convenient and efficient for marketers. It is estimated that U.S. advertisers spent $60 billion on programmatic display advertising in 2019, and by 2021, almost 88% of all U.S. digital display ad dollars were expected to transact programmatically.[1] Before the introduction of programmatic advertising, advertisements were sold and purchased manually by individuals, which was expensive and unreliable.[2] Section 6.5 discusses programmatic advertising further.

EXHIBIT 6.1

What Are Native Ads?

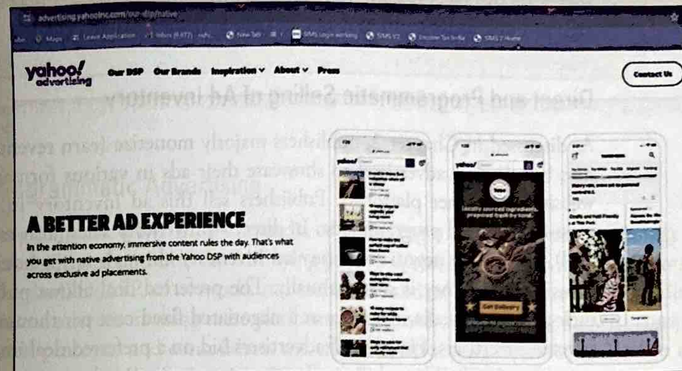
Native advertising can refer to any advertising format that matches the look, feel, and function of the media format in which they appear. In other words, these ads seamlessly blend within the editorial or other content on the page and are often difficult for viewers to differentiate as advertisements. A good example would be Facebook-sponsored ads, which appear in Instream (Facebook feed). Given that this format of advertising can often be complex and at times be recognized as advertisements, industry watchdogs, such as the (FTC) Federal Trade Commission and the Interactive Advertising Bureau (IAB), regulate the use of native ads from time to time to ensure that consumers are not misled. It is estimated that native ads constitute more than 60% of digital spending, the majority of which is on various social media platforms.[3] The figure below shows native ad formats provided by Yahoo Advertising.

IAB's recent guidelines issued in 2019 list native ads into three primary types:

- **In-feed/in-content ads:** These ads include ads on content, commerce, and social feeds. As the name suggests, they appear within the mainstream of editorial or user-generated content and mimic the surrounding site design and aesthetics. Usually, the word *sponsored* appears in these ads.

[1]https://www.emarketer.com/content/us-programmatic-ad-spending-forecast-2019 (accessed December 22, 2024).
[2]https://digiday.com/media/what-is-programmatic-advertising/ (accessed December 22, 2024).
[3]https://www.emarketer.com/content/us-native-advertising-2019 (accessed December 22, 2024).

- **Content recommendation ads:** These ads appear via a "widget" and generally appear alongside or below the publisher ad. On being clicked, these ads redirect the user to the advertiser's landing page. Below is a content recommendation ad from Yahoo Advertising platform:



- **Branded/native brand/native content:** This ad format is distinct from other native advertisements and is paid content published in the same format as editorial content. The publisher's content teams generally create the content and have a disclosure stating that it is paid content. Thus, these ads are rendered on a page hosted and served by a publisher on their website. At times, branded/native content ads are promoted by in-feed or content recommendation.

- **Cross-channel and device interactivity:** Another phenomenal transformation is how digital advertising has enhanced planning and executing cross-channel communication possibilities. The chance to integrate data across platforms has enabled marketers to execute interactive communications across various digital channels. By leveraging data on one channel to inform another channel or device, customers can be provided a seamless experience. Illustratively, a customer may start selecting a pair of jeans on an e-retail website and may end up buying the product on the mobile app of the same retailer on their mobile.

6.5 Digital Media Buying Process

Digital media buying is purchasing placements (or impressions) for advertisements on websites, apps, and other digital platforms. The task is often accomplished with the help of real-time bidding (RTB), where the software places a bid and negotiates to buy an impression from various publishers for different placements on behalf of advertisers. Five main parties are involved in this process—the advertiser, the demand side platform (DSP), the ad exchange, the supply side platform (SSP), and the publisher. When advertising is accomplished using this process, it is referred to as programmatic advertising. Given that many complicated technologies and elements are involved, it may look very overwhelming. Thus, it is necessary to understand all the components one by one. Let's know it further.

Direct and Programmatic Selling of Ad Inventory

As discussed in Chapter 2, publishers majorly monetize (earn revenue) their business by allowing advertisers to showcase their ads in various formats across their websites and other platforms. Publishers sell this ad inventory in two different ways—direct and programmatic. In direct ad inventory sales (also called preferred deal), advertisers negotiate to buy ad inventory through an in-house sales team. Thus, the inventory is sold manually. The preferred deal allows publishers to sell their premium media inventory at a negotiated fixed cost per thousand (CPM) to selected advertisers. However, if advertisers bid on a preferred deal impression, they are no longer eligible to bid on the same impression in the open (programmatic) auction. The publisher sells its unsold inventory through ad networks and SSP in programmatic auctions. We discuss this in detail in the next section. Both direct and programmatic have their pros and cons, which are addressed in **Table 6.1**.

TABLE 6.1 Differences between Direct and Programmatic Ad Sales

Basis of Difference	Direct Ad Sales	Programmatic Ad Sales
Method	**Manual** It is a very involved process and requires constant human effort in finding clients, negotiating prices, and other things. This needs significant money and time investment.	**Automated** Much manual work, including communication, is drastically reduced as this runs on technology. This saves time and money and reduces the chances of human error.
Sales Predictability	**More accurate** Direct sales are predictable as ad inventory is sold in advance and delivered in the future. This makes direct sales "guaranteed" while also "guaranteeing" inventory for advertisers.	**Less accurate** As most programmatic advertising is executed with RTB, several auctions (even thousands) are placed for every impression. Thus, it is less reliable and more dynamic than direct sales.
Pricing	**Fixed** Usually, advertisers buy in bulk in direct buying, and the pricing is almost always a fixed CPM. Moreover, as publishers are often given guaranteed inventory for selected placements, they charge higher prices.	**Dynamic** In programmatic buying, the auctions take place for every impression. Thus, publishers receive different prices for every impression depending on the competition.
Control	**High** Publishers have more control as they can choose which brands or industries they would like to sell their ad inventory.	**Low** Although ad networks' SSP give control to publishers to restrict advertisements from specific industries (alcohol, adult content), the power they can exercise is limited in comparison to direct sales.

(Continued)

Source: Adapted from https://blog.ad-juster.com/differences-between-direct-sold-and-programmatic-advertising/ (accessed December 16, 2024).

Programmatic Advertising

Programmatic advertising is a media or ad-buying method that uses technology to automate and optimize the ad-buying process in real time. It uses various platforms like the DSP, SSP, ad networks and exchanges, and, of course, participating publishers and advertisers using these platforms. The process streamlines otherwise complicated processes and consolidates the efforts of advertisers by allowing them to use only one technology platform. These platforms provide advertisers precise control over target audiences based on their interests, timing, location, budget, and other factors. The algorithms at the back-end filter ad impressions derived from consumer behavioral data, which allows advertisers to define budget, goal, and attribution and optimize for reduced risk while increasing return on investment (ROI).[4] Zowie Skelton (2015)[5] explains:

> *When a consumer visits your website, the browser communicates with an ad server—the technology that places adverts on websites. The server then sends a message to an ad exchange with information about that user, such as the IP address, location, and details of the website the consumer is visiting. A web page has space on it for ad space, which is available for real-time bidding. Information about the web page and the user viewing it is passed on to an ad exchange, a platform that auctions off the available ad space to the highest bidder. As an advertiser, you—or your media buyer—send a bid electronically to the ad exchange via a demand-side platform (DSP).*

Thus, programmatic advertising makes transactions efficient and more effective and ultimately serves targeted and relevant experiences to consumers. Programmatic advertising has been growing sporadically, and today, most ad inventory is transacted programmatically. **Figure 6.1** shows how different platforms are connected and involved in the programmatic advertising process. To further understand programmatic advertising, we look into each of these platforms and their role.

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[4]https://www.iab.com/insights/glossary-of-terminology/ (accessed December 22, 2024).
[5]Skelton Z. (2015). How to power up with programmatic marketing. *Digital Doughnut*, 24 June. www.digitaldoughnut.com/articles/2015/june/how-to-power-up-with-programmatic-marketing (accessed December 22, 2024).

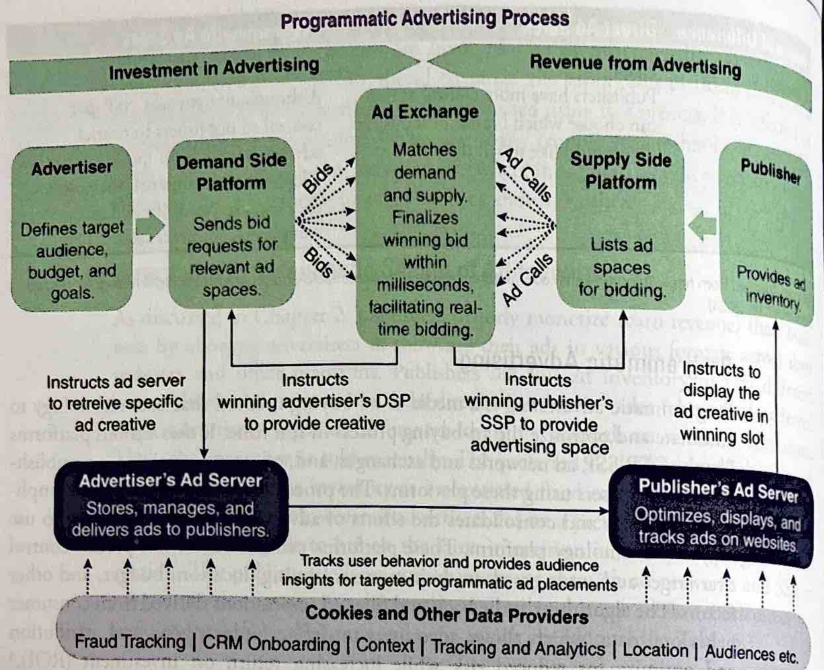

FIGURE 6.1 | Understanding how programmatic advertising works.

Demand Side Platforms

Demand side platforms (DSPs) are third-party software that allow advertisers to purchase, analyze, and manage ads across many ad networks from a single interface. They are connected with ad exchanges and network and purchase placements for the advertisement orders placed in an automated and efficient manner. They ensure ads are shown to the precise audience targeted by the advertiser. Moreover, they offer additional tools to analyze ad performance and avoid fraudulent sites that generate traffic with bots, wasting advertisers' money. Some of the biggest DSPs in the world include Google's Double Click, Adobe Media Optimizer, and AppNexus.

Supply Side Platforms

Supply side platforms (SSPs; also referred to as sell-side platforms), on the other hand, allow publishers to manage and sell their inventory in the ad exchange to interested buyers and earn revenue. As we discussed, publishers are the websites or other content-creating platforms that consumers visit. When visitors open a particular page, publishers reserve ad space on the appearing pages (see **Exhibit 6.2**).

EXHIBIT 6.2

Understanding What Are Ad Impressions and How They Are Delivered

An impression is said to be delivered when an advertisement or any other form of digital media renders (is shown) on a user's screen. Technology has made impression tracking more accessible and robust in digital marketing than offline advertising. For example, it is difficult to measure the number of impressions accurately a billboard would have received, unlike digital advertising, where every impression is tracked, counted, and sold in terms of CPM impressions. It is essential to understand that an impression rendered does not equal an advertisement seen (viewed), as humans are subconsciously programmed to ignore most marketing stimuli. Though it is impossible to examine if an individual sees the ad, publishers usually provide two metrics for impressions—*served* and *viewable*.

Served Impressions

The standard for counting online impressions is based on ad impressions served, that is, an impression is counted whenever an ad file is accessed, transmitted, and rendered. It ignores other things, such as whether the advertisement was visible on the screen. Thus, served impressions are counted, for example, even if an ad is rendered in the lower fold of a webpage, despite the user not scrolling that part of the page. Thus, counting impressions on this basis still has the "billboard" problem, where the nearest metric to measure impression is estimating passing traffic.[6] Even if a vehicle or building blocks the view of the billboard, an impression would still be counted. Thus, a slightly better metric to measure impressions delivered is viable impressions.

Viewable Impressions

This standard of counting impressions considers possible reasons that prevent a user from viewing an ad. This could happen due to ad-blocking software, screen resolutions not apt for the ad to appear, and users scrolling down before the ad has loaded or not scrolling down where the ad was rendered. For example, Google Ads provides advertisers with an "Active View" metric, providing viewable impression data in compliance with industry standards developed by the Media Rating Council (MRC).[7] An active view for display ads is counted when at least 50% of the ad area is visible on the screen for at

[6]https://www.matrixmediaservices.com/outdoor-impressions/ (accessed December 22, 2024).
[7]http://mediaratingcouncil.org/Education.htm (accessed December 22, 2024).

least one second. For more prominent ads (242 × 500 pixels or more), an impression is counted when at least 30% of the ad area is visible for at least one second.[8] However, different standards are followed for video ads.

Note: Though advertisers can buy either impressions or clicks through a common demand side platform, in programmatic advertising, publishers sell only impressions and not clicks to the supply side platform.

Publishers can list these ad spaces on an SSP in advance and give opportunities to various advertisers to bid and compete for showing ads. SSPs are further connected to multiple ad networks and ad exchanges, which interface with DSPs. SSPs provide numerous benefits to publishers and most, importantly, yield revenue maximization.

Ad Networks and Ad Exchanges

Ad networks and ad exchanges play another vital role in programmatic advertising. Ad networks are companies selling leftover ad inventory—which publishers could not sell directly—on behalf of multiple publishers. Many publishers have their own ad networks; for example, Google Ads allows advertisers to advertise on various Google-owned platforms (YouTube, Google Search) alongside other publishers who have partnered with Google.

On the other hand, as the name suggests, an ad exchange is a technology platform where publishers and ad networks can programmatically sell their ad impressions. It is very similar to an e-trading platform for stock trading. Ad exchanges simultaneously work with many seller sources (SSPs and ad networks) and auction off impressions directly or through DSPs. Refer Figure 6.1 to understand how these entities connect seamlessly and make programmatic advertising possible.

Understanding Real-Time Bidding

Real-time bidding (RTB) is a method of transacting media that allows an individual ad impression to be put up for auction in real time. It involves a server-to-server buying process through a programmatic on-the-spot auction. Thus, RTB is a subpart of programmatic advertising. RTB operates similarly to financial markets. When a bid for a particular ad spot is won, the advertiser's ad is immediately shown on the publisher's site. Thus, in this process, multiple advertisers and publishers can buy and sell ad impressions depending on the demand and supply. It is a win-win situation for advertisers and publishers, leading to reduced media wastage, greater transparency, improved ad performance, and a healthy yet competitive advertising environment.

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[8]https://support.google.com/google-ads/answer/7029393?hl=en (accessed December 22, 2024).

6.6 Understanding Ad Inventory Auctions

Programmatic ad auctions select ads that finally appear on the publisher's page and determine how much a publisher can earn from those ads. Thus, the advertisements that we see on a website, app, or other digital channel are the ones that have won in an auction. Various ads pay different amounts of money, depending on factors such as how much an advertiser has bid for the ad.

How ad auctions are designed ensures that publishers earn the maximum possible revenue for the ad space. Usually, if the competition to advertise on a particular spot is high, advertisers are forced to pay higher, which can translate into higher earnings for the publisher.

Programmatic ad auctions are of two types—open auctions and private auctions. In an open auction, ad inventory prices are determined in real time through a competitive bidding process where both publishers and advertisers can participate. Publishers list their media inventory on an ad exchange with a predetermined minimum CPM, and advertisers place bids to secure the available ad space. The advertiser with the highest bid wins the impression.

Private auctions function similarly to open auctions but with restricted access. Participation is limited to select advertisers chosen by the publisher, who may either invite them directly or allow them to apply for inclusion. Only invited advertisers can bid on the available media inventory. As with open auctions, publishers set a minimum CPM, and the highest bidder secures the impression. Additionally, bids placed in private auctions may either compete with open auction bids simultaneously if the publisher allows it or, if the private auction does not fulfill the ad request, open auction bids may be considered afterward. Moreover, it is essential to note that publishers usually sell impressions based on the CPM model in both direct and auction selling and not the clicks.

6.7 Role of Web Cookies in Advertising

A web cookie (also called an internet cookie, browser cookie, or just cookie) is a small message given to a web browser by a web server. The cookie is used to identify a user and create customized web experiences. Cookies have a significant and critical role in digital marketing. It could easily be said that if cookies didn't exist, digital marketing wouldn't have come this far. Cookies can be first-party or third-party. The primary difference between first-party and third-party cookies is that the first-party cookies are set by the publisher's web server, which the user has visited. In contrast, third-party cookies are usually set up by third-party servers, such as technology platforms, which help code on the website visited. Advertising platforms use these cookies to track the pages an individual has visited, links clicked, or ads a user is exposed to. They usually add tags to pages to track a user visiting various pages across websites and devices. Based on this, they can build a user profile to show users targeted advertising. Thus, third-party cookies are used for ad retargeting and behavioral advertising. Nevertheless, in recent times, there has been a push for retiring cookies as a mechanism for behavior tracking with alternative mechanisms. **Exhibit 6.3** explains this further.

EXHIBIT 6.3

The Cookie-less World: Navigating the Future of Digital Landscape

A seismic shift is underway in the ever-evolving digital realm—the transition to a cookie-less world. The impending demise of third-party cookies drives this transformation, those tiny data fragments exchanged between advertisers that contain personal identifiers as consumers traverse the Web. The cookie-less future represents a paradigm shift following Google's announcement in January 2020 (now postponed to 2023) that it plans to phase out third-party cookies in its Chrome browser. Chrome's decision reverberates across the digital ecosystem as the most widely used browser. Publishers, advertisers, marketers, and the entire ad tech sector are in a fierce race to find viable alternatives.

Why Cookies Need to Go Away?

- **Privacy concerns**: Increasing consumer privacy demands have prompted this change. Users want control over their data, but they also crave personalized experiences.
- **Google's move**: Google's planned phasing out of third-party cookies aims to reduce cross-site tracking while preserving essential functionalities. These cookies have been both a boon and a bane—enabling targeted insights but also fueling privacy concerns. Nevertheless, instead of phasing out cookies for now, Google has given users the option to either block or allow third-party cookies on the browser.

The Cookie-less Landscape: What Does It Mean?

- **Cookie-less marketing**: Marketers rely less on third-party cookies in a cookie-less world. Instead, they turn to alternative identification methods like IP addresses or device IDs.
- **Google's role**: Google Chrome's dominance necessitates attention. It is expected that the browser's phased approach will disable third-party cookies for all users by early 2025.
- **Alternative identifiers**: Solutions based on non-cookie identifiers (e.g., email addresses) will play a pivotal role. First-party data quality and volume will determine efficacy.

Sources: https://learn.g2.com/cookieless-future; https://timesofindia.indiatimes.com/technology/tech-tips/google-again-delays-blocking-third-party-cookies-in-chrome-browser-this-is-the-reason/articleshow/109566379.cms; https://www.forbes.com/sites/forbestechcouncil/2023/10/03/transition-to-acookieless-future-a-guide-for-programmatic-professionals/?sh=261132ec6483; https://www.business-standard.com/technology/tech-news/google-makes-u-turn-dropping-plan-to-remove-cookies-on-chrome-browser-124072301599_1.html (accessed January 23, 2025).

6.8 Types of Digital Advertising

In the dynamic digital marketing landscape, digital advertising (also known as online advertising) has become a cornerstone for businesses aiming to reach a vast and diverse audience. Leveraging the power of the Internet, various forms of online advertising enable brands to connect with potential customers through targeted and engaging methods. Each type offers unique advantages, from search engine ads that appear at the moment of intent to visually appealing display ads that capture attention across the Web. As the digital world evolves, these advertising methods drive brand awareness, engagement, and conversions.

Search Advertising

Search advertising (also referred to as paid search) is a method of placing online advertisements on the search engine results page. The most popular search engine marketing (SEM) platforms include Google, Bing, and Yahoo. These ads usually appear on the top and bottom of organic listings. They are triggered when users enter a search query that is the same or similar to the keywords targeted by advertisers. The ability of search ads to show up only when a user searches for particular keywords makes them very attractive. This is because unlike display advertisements, which are push in nature, search ads only appear when a user has intent and thus are considered pull in nature. Consumers often use search engines to identify and compare products before purchasing. The opportunity to show consumers advertisements tailored to their immediate buying interests encourages them to click on search ads. Moreover, advertisers only need to pay for search ads when the user clicks on the ads. Unlike display ads, which can also be purchased on an impression basis, search ads are based only on a pay-per-click model. Thus, search ads are one of the most dependable types of digital advertising. However, search ads are only text-based and mainly contain a heading, sub-headings, and site links. Thus, unlike display ads, they are less attractive and may not be able to generate the desired attention for some of the product categories. The nuances in planning and executing search ad campaigns are discussed later in this chapter.

Display Advertising

Display advertising is another large piece of the advertising pie apart from search ads. **Figure 6.2** shows how display advertisements are purchased in real time and displayed to users within milliseconds. One of the advantages of display advertising is that it offers a wide range of diversity. There are many formats and channels to choose from that can attract audiences across devices. In its most basic form, display ads contain images and text. Nevertheless, flash and video ads are also part of the display advertising world. The main difference between display ads and search ads is that display ads do not show up on search results. Display ads are sometimes also called banner ads, but, generally, display advertising includes both video and (static and animated) banner ad formats. Many display ad formats are affordable

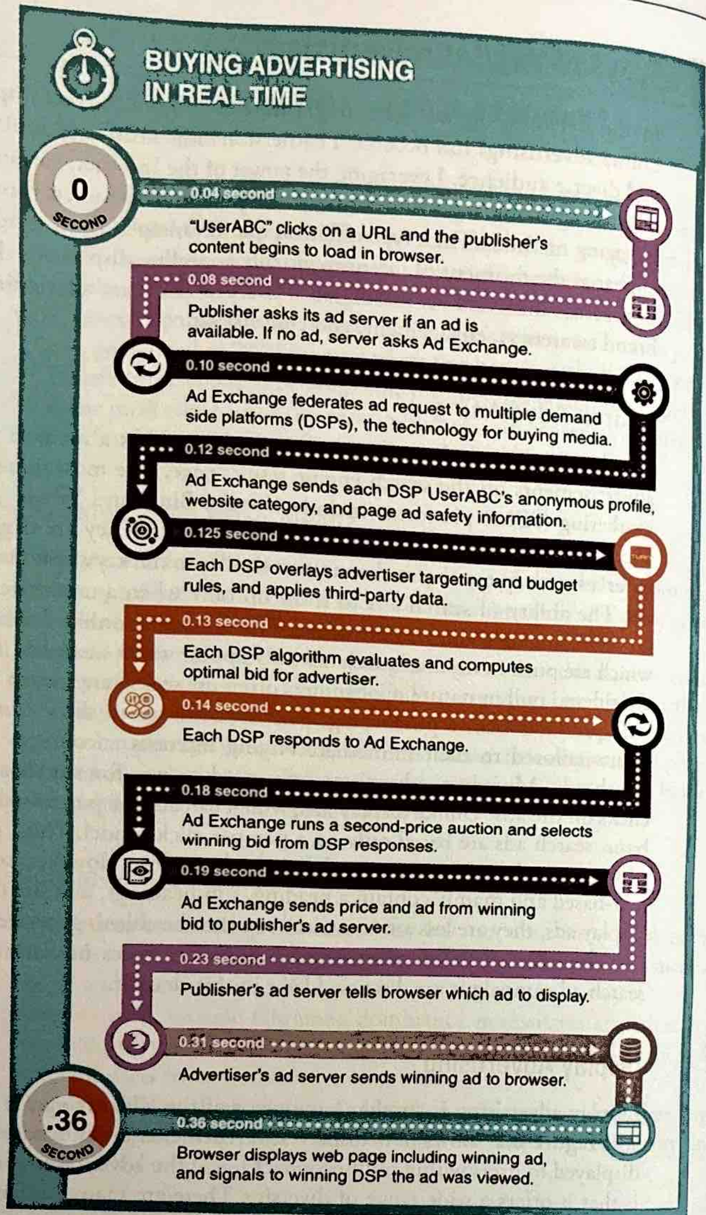


FIGURE 6.2 The life of an ad.

Source: https://www.amobee.com/research-insights/the-life-of-an-ad/ (accessed December 16, 2024).

and straightforward, but some formats, such as video ads, can need much creative execution.

One can choose individual websites, social media websites, news websites, or blogs to display ads. Unlike search ads, display advertisements are push in nature. That means the viewer doesn't necessarily have to see a display ad to be interested in that product or brand. Thus, consumers often find display advertising interruptive. Nevertheless, by using advanced targeting options offered for display advertising, these ads can be helpful for most viewers. Moreover, retargeting display ads can be useful for companies in returning valuable prospects who visited the website but did not provide contact information or left the checkout midway (we will discuss this later).

There are many types of display ads. We discuss some of the most popular ones next.

Display Advertising Formats

Display advertising is a crucial component of digital marketing, utilizing a variety of formats to capture audience attention and drive engagement. Prominently showcased on websites, apps, and social media platforms, these advertisements leverage visual elements such as images, videos, and animations to communicate marketing messages effectively. Here's an overview of the various display advertising formats:

Static Display Ads

These are the most common display ads. These typically use an image and have some copy, a brand logo, and a clear call to action (CTA). As these ads are static, there is no movement, and they can be placed across various channels and devices. Among other display ads, these are the least expensive to create and comparatively need less expertise, which makes them scalable. Display ads can be inserted in various sizes across websites. We discuss the standard ad sizes later in this chapter. Below is an example of a static display ad:

Example of a Static Display Advertisement

Animated Display or Rich Media Ads (Flash, GIF, and HTML5)

These ads use motion, animation, interactive (clickable) elements, and often audio to increase the engagement of the ad. These ads are viral and can be created using various technologies. These ads are usually 15 to 30 seconds long and either looped or end with a suitable CTA. While the GIF ads can only include multiple images, Flash and HTML5 can consist of pictures and audio. Flash format was acquired by Adobe in 2005 and is still a popular format. However, most browsers need additional add-ons to play Flash files, while Apple's iOS doesn't support Flash format natively. Off late, HTML5 is replacing Flash ads due to several advantages they have over Flash ads. First, like Flash ads, HTML5 ads can include images, audio, video, and interactive elements and are supported by all modern browsers. Moreover, HTML5 is also responsive/adaptive, meaning that ads designed in this format are adaptive and look good across any browser, operating system, or device.

Video Display Ads

Video display ads, referred to as video ads, make display ad format much more exciting and take them to a different level. Video ads are highly engaging formats that usually appear before, during, or after video content on platforms like YouTube or within social media feeds. They can range from short 6-second bumper ads to longer, in-depth commercials, allowing advertisers to tell a more compelling story. Usually, video ads have incredibly high engagement rates. Moreover, with ad networks like Google enabling video ads for responsive display ad formats, advertisers can use video ads across platforms with great automation. As consumers engage with more video content online and experience faster internet speeds, video ads are likely to gain even more popularity in the coming years.

Good to Know!

The Story Behind Pop-Up Ads

Pop-ups were created in the late 1990s by Ethan Zuckerman, who developed the format while working on a web-hosting platform. His intention was to provide a way for advertisers to display ads without being associated directly with the website's content. The idea was to "pop" the ad into a separate window to keep the user experience on the main website seamless. Pop-under ads, introduced later, took the opposite approach, opening behind the active window to be noticed only after the user closed or minimized their primary browser window. This format was seen as less intrusive initially but was still criticized for being sneaky. Both of these are one of the most disliked ad formats today.

Source: https://www.forbes.com/sites/jaymcgregor/2014/08/15/the-man-who-invented-pop-up-ads-says-im-sorry/ (accessed December 20, 2024).

Native Display Ads

As discussed in Exhibit 6.1, native advertising is a popular display advertising format. Unlike other formats of display advertising, which usually stand out and look different from editorial content, native ads blend within the editorial content or overall web-page aesthetics as regular banner ads are prone to banner blindness (i.e., conscious or sub-consciously ignorance of banner-like information, believing that they are advertisements).

Specific Executions of Display Ad Formats

Pop-Up and Pop-Under Ads

Rather than being a different advertising format, these are specific executions of various display ads. Thus, pop-up and pop-under ads can be executed as banners and videos, with the former being more common. As the name suggests, these ads pop up or are under the web page and are being viewed by the user. While one sees the pop-up immediately, a pop-under would only be visible once the main window is closed. During the early years of its use (2004 onwards), these ads opened in a new window, often smaller in size. But with the advent of "pop-up blockers," publishers have found new and innovative ways to use this advertising format. Now, these ads usually appear in an in-window overlay. To decrease distraction, sometimes, these ads appear after some time of browsing activity. Some publishers also use scroll pop-up ads after the visitor has scrolled to a particular place on the website. Both pop-up and pop-under ads are considered controversial, as pop-up ads restrict the view to the main content, while pop-under ads usually open without the viewer's knowledge.

Interstitial Banner Ads

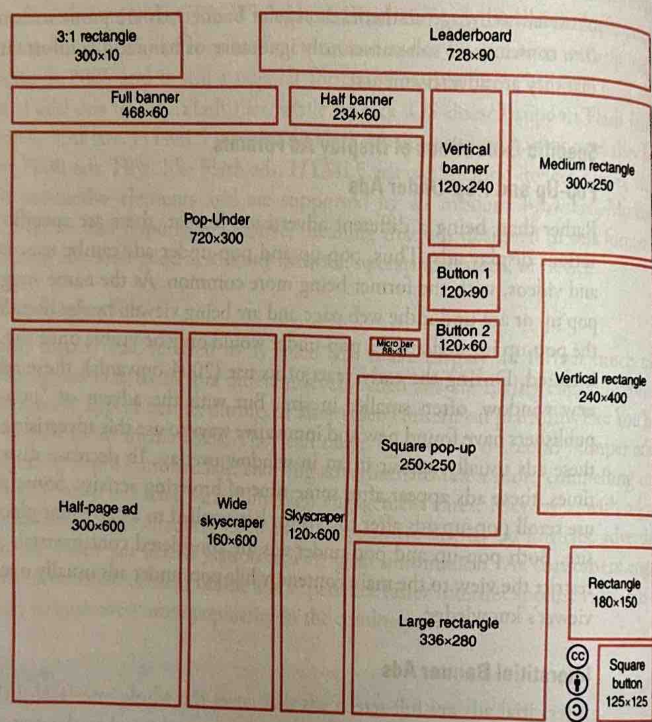
Interstitial ads are full-screen ads that cover the whole interface of the site or app where they appear. Usually, these occur between pages when the user navigates from one page to another. What differentiates them from other ad types, like pop-up, native, and banner ads, is that they take over the full view. Often, the advert can be closed or can force the user to stick around for a few seconds, after which they disappear independently. They can feel like natural transition points between web pages and app activities if executed well.

Display Ad Design Specifications and Sizes

Display ads have various design specifications and sizes that often differ for ad networks like Google, Facebook, and LinkedIn. The correct size choice depends on the network on which one is supposed to advertise. Choosing the ideal advert size should also be considered an essential branding decision, as the impact and information that can be effectively displayed depends on the size of the advertisement. It is also necessary to consider the format and the device on which the advertisement will appear. Animated ads can show more information than static banner ads and even small ads on mobile phones can carry more information due

EXHIBIT 6.4

Common Display Ad Size in Pixels



Source: https://commons.wikimedia.org/wiki/File:Standard_web_banner_ad_sizes.svg (accessed December 16, 2024).

to the display's proximity to the eye. We look into some key aspects of both design specifications and discuss standard sizes used for display ads. Adhering to the requirements ensures that the ad has maximum impact and minimum risk of losing money. Refer **Exhibit 6.4** for the standard-size display ads across most publisher websites.

6.9 Ad Targeting Options

One of the most critical aspects of online advertising is targeting appropriate prospects. Appropriate targeting helps advertisers to communicate with the right audience at the right time with the right message. The possibility of targeting

niche segments in digital advertising allows advertisers to personalize and deliver a lot more relevant communication. Moreover, it enables advertisers to segment audiences, test various campaigns, and optimize for improved results. Nonetheless, the extent to which a particular user can be targeted depends upon the information the user has shared in the past, how much of it is still accessible by ad networks and websites, and the extent to which the user has given consent to be targeted. Since companies (such as Google) are increasingly giving users options to opt out of tracking, and with the growing use of ad-blockers and anti-tracking software, targeting users is becoming increasingly complicated. We will next discuss critical targeting options from major ad networks like Google, Facebook, and LinkedIn. However, it is important to note that targeting options can vary from platform to platform, and specific ad networks may not be able to provide all the targeting options.

Demographic Targeting

This is one of the earliest targeting options available to online advertisers. It lets the advertiser choose specific demographics, including age group and gender, and at times, income, religion, race, and more. Some advertising platforms (such as Facebook) also provide geographic targeting under the demographic targeting module. Demographic targeting is helpful for products that appeal to specific age groups or genders. Moreover, demographic targeting with an appropriate messaging strategy can be used to build awareness for an audience belonging to a particular demographic. This way, one can be extremely specific about who sees their advertisements and achieve advertising objectives tied to a particular audience. An example of such targeting would be 30- to 35-year-old males (demographic targeting) in New Delhi, India (geographic targeting), and likes to travel (interest-based targeting).

Placement Targeting

This targeting option allows advertisers to show advertisements on specific websites and is particularly helpful when one knows the website company's potential customers. Usually, reputed websites actively visited by customers are the preferred choice for placement targeting. These may include popular news websites, health, and weather information websites. This targeting option is specifically helpful for display ads and not truly applicable to search advertising. Also, this option is useful if the advertiser wants to reach a niche or industry-specific audience. For example, a ventilator manufacturer may find it suitable to advertise on a website covering the latest developments around respiratory diseases to target pulmonologists.

Though this targeting option may seem familiar to contextual targeting, it is different. In contextual targeting, one chooses a particular context (e.g., sports) to show the ads, which may appear on any website having content related to the specific content. In placement targeting, one chooses the placement (e.g., NYtimes.com), and the ad can appear across any context on the particular website. However, it is possible to combine both targeting options on most of the advertising platforms.

Behavioral Targeting

Behavioral targeting allows advertisers to target customers based on their recent behavior across the Web, mobile apps, and more. Various websites, specifically publishers, use cookies (including third-party cookies) and collaborate with ad networks to collect and share information about user-initiated actions such as searches, time spent on particular sites/pages, content views, clicks, purchases, and more in the past. These profiles are generally anonymous and do not include personally identifiable information (PII).

This information is helpful for advertisers in targeting users who are more likely to be interested in their products and, thus, are more likely to be influenced by such advertising. For example, the targeting system would store such behavior if a consumer frequently searched for travel destinations in Europe or spent ample time reading an article on vacation in Europe. A European-based hotel company can use this information to target this particular user and show them hotel ads when they visit any website that has partnered with that specific ad network.

Behavioral targeting is one of the most advanced options available to marketers today. This is due to two reasons. First, due to the advancement of technology, increased collaboration across platforms, and availability of big data—which makes it possible to store more customer data—behavioral targeting has become much more specific, allowing advertisers to show more personalized ads.[9] Second, consumers can mainly identify a behaviorally targeted ad because publishers and ad networks are increasingly adopting icons such as AdChoices. (Refer Good to Know! to learn more about this.) Nevertheless, consumers often find behavioral targeting to breach their privacy and feel advertisers are getting too eyed into their personal space. For this reason, behavioral targeting is usually under the scanner of regulatory watchdogs such as the Federal Trade Commission. For example, companies such as Facebook and YouTube, which have used personal data for illegal behavioral targeting, have been heavily fined for sharing personal data with third parties.[10] However, when done legitimately, behavioral targeting can be very effective.

It is important to note that behavioral targeting is a broad term (also referred to as online profiling or behavioral advertising) and is the basis of many other specific targeting methods, such as interest targeting and retargeting, which are discussed later.

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[9]Summers, C. A., Smith, R. W., & Reczek, R. W. (2016). An audience of one: Behaviorally targeted ads as implied social labels. *Journal of Consumer Research*, 43(1), 156–178.

[10]https://techcrunch.com/2019/07/24/facebook-settles-with-ftc-5-billion-and-new-privacy-guarantees/ (accessed December 22, 2024).

Good to Know!

The AdChoices Logo

AdChoices is a self-regulatory advertising program for online interest-based advertising across various countries globally. The program mandates participating advertising companies to establish and enforce responsible privacy practices for interest-based advertising, which gives viewers enhanced transparency and control. Companies are required to adhere to various guidelines and principles enforced by accountability programs. Whenever the participating company shows an ad, the AdChoices logo is displayed automatically. The icon on a particular ad reflects interest-based advertising data being collected or used. Users can learn about ads or a website's collection practices by clicking the icon and opting out of such targeting. www.youradchoices.com provides more details about the Ad Choices program and its logo.

Geographic Targeting

As the name suggests, geographic targeting lets advertisers target users physically present in a particular geographic location or interested in a specific geographic location. The location data is collected by websites and ad networks using various methods, including location data from internet service providers (ISPs), GPS in users' mobile phones, and user lead check-ins. (Exhibit 7.2 in Chapter 7 discusses this in detail.) Interest in a particular location can be gauged if the user searches for a specific location, such as "Budget Hotels in Miami." The extent (preciseness) to which a particular ad network can track users depends on its capabilities and various other factors. For example, Facebook allows marketers to drill down to a specific location and distance radius.

Interest-Based Targeting

This type of targeting allows advertisers to target customers whose past online behavior shows they are interested in a specific product category. For example, if a person visits several websites containing information on parenting, they would be tagged against the "Parenting" interest group. Hundreds of such interest groups have been created, which advertisers can use to target specific audiences. The data is modified occasionally based on the user's recent activity (generally within three to six months). Interest-based targeting is a particular type of behavioral targeting. Most publishers allow users to see their advertising profile (to which interest groups they have been tagged, along with other information), while some allow customers to tailor their interests to see more relevant ads. **Figure 6.3** shows the Google advertising profile, which also contains the interest categories of that individual based on their browsing history.

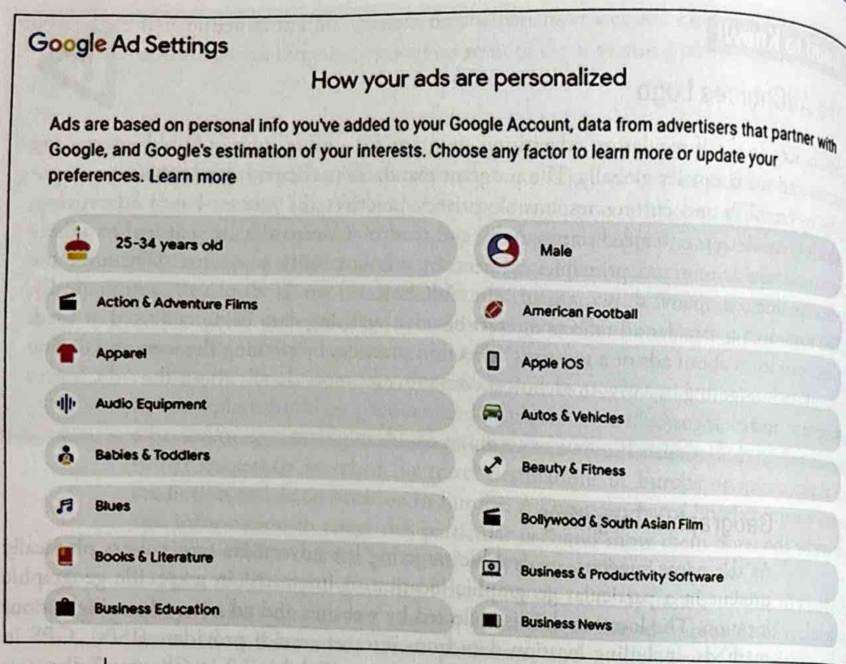

FIGURE 6.3 Google Ads profile (called as Google Ad Settings).
Source: https://support.google.com/google-ads/thread/64161919/is-there-a-full-list-of-ads-personalisation-items?hl=en (accessed December 16, 2024).

TIP

A user writes a "search query" on a search engine, while the advertiser targets through "keywords." Though both are related, they are fundamentally different from one another.

Content or Topic Targeting

Content targeting (also referred to as topic targeting or contextual targeting) allows advertisers to place their advertisement across a particular type of content or topic. Most publishers provide the website's core theme and specific pages (keywords and tags) to the SPPs. Advertisers can then use this information to place their ads across a particular topic. This pairing helps advertisements appear in relevant publications, blogs, and websites. Moreover, advertising in a context similar to the ad content is more effective.[11] As discussed earlier, in contrast to placement targeting (which lets

[11] Yeun Chun, K., Hee Song, J., Hollenbeck, C. R., & Lee, J. H. (2014). Are contextual advertisements effective? The moderating role of complexity in banner advertising. *International Journal of Advertising*, 33(2), 351–371.

the advertiser show ads on a website of choice), content targeting enables the advertiser to show ads of a particular category across websites having similar content. Thus, it is a good way for advertisers to get exposure to relevant sites. Content targeting is commonly used to target display ads and combined with other techniques to make it even more effective.

Keyword Targeting

Keyword targeting enables marketers to target audiences with specific keywords and phrases. Both display and search ads can be targeted through keywords. However, when display ads are targeted through keywords, we refer to it as topic targeting. However, keyword targeting for search ads directly targets the search queries an individual submits to a search engine. Thus, keyword targeting is the primary targeting method for search ads. An advertiser provides a list of keywords relevant to their particular business, and ads are only shown when a user searches for the same or similar search query.

As discussed in Chapter 5, the search engine result page shows relevant search ads and organic links. Thus, search ads appear only when one or more advertisers target keywords related to the user query. The extent to which an advertiser is willing to target search queries similar to keywords can be decided by using the "Keyword Match Types" option provided by popular search advertising platforms such as Google and Bing. Keyword match types allow advertisers to target more generalized or specific search queries. Chapter 7 discusses this in more detail. Moreover, almost all popular search engines provide advertisers with tools through which marketers can enrich (find more) their keyword targeting list and get estimated bid prices, search volume, and industry competition. For example, Bing's tool is called "Keyword Research Tool," while Google calls it "Keyword Planner." Chapter 7 discusses using this tool while executing search ads at length.

Lookalike Targeting

Lookalike targeting is a relatively new targeting option and was debuted by Facebook in 2013. It lets advertisers find and target potential customers likely to share similar interests and behaviors with existing customers. The advertiser needs to provide a list of existing customers (called a seed list), preferably with some homogeneity. The ad network anatomizes these customers and their user profiles to find the commonalities with other audiences with similar tastes, preferences, and behavior, and that's how the name "lookalike targeting" originated. In this way, one can reach highly qualified leads who otherwise could be difficult to identify and target. Multiple data sources can be used to create seed lists, including email addresses, phone numbers, and customers who have purchased products in the past or have viewed specific pages on a website for a desired period.[12] Today, all major advertising networks, such

[12] https://blog.ladder.io/ecommerce-lookalike-audiences/ (accessed December 22, 2024).

as Google Ads, LinkedIn Ad, and Outbrain, allow lookalike targeting. This is one of the more advanced targeting options and requires a sizable existing audience list. For example, Facebook recommends a seed audience list of 1,000 to 50,000 users from one country to provide a considerable lookalike audience.[13] Moreover, there is a limit to the extent to which one can find a lookalike audience, which depends on the initial seed size.

Retargeting

Retargeting is another relatively recent and very effective targeting technique. Retargeting (also known as remarketing or behavioral retargeting) serves targeted ads to people who have already visited or taken action on a particular website. Remarketing is done with the help of a JavaScript tag (known as a pixel) that places a cookie on the user's computer when they visit the company's website. The advertiser can later use the ad platform to serve ads (retarget) to the specific individuals who had earlier visited the company's website or app, but left without completing the desired action (usually filling out the form or purchasing the product). The advertising platform uses the anonymous identifier (stored in a cookie) provided by the advertiser to show ads to these individuals when they visit any of the websites within the ad network. The process is illustrated in **Figure 6.4**.

Since retargeting targets prospects who have already visited the website, and advertisers can even track their particular activity (pages visited, links clicked, or time spent) at an individual level, remarketing ads can drive the customer back into action by showing them something they are interested in. These ads can not only remind the customers what they are looking at but also increase brand recall; moreover, by offering specific offers, these ads can be very effective in luring and winning customers. Some studies show that retargeting ads will likely be clicked up to 10 times more.[14]

Retargeting can be done for both display ads and search ads. When done for search ads, advertisers can use a remarketing list for search ads (RLSA), which allows tailored search campaigns for users who have previously visited the company's website, mobile app, or specific pages. Using appropriate targeting techniques in digital advertising can often be challenging. It not only requires experience, but marketers usually have to test and retest to find out what works best for them. Moreover, with the advancement of technology, newer targeting techniques are being developed from time to time. Nevertheless, it is essential for marketers not to get too overwhelmed by so many targeting options. Also, it is necessary to ensure that targeting is not too narrow that it limits the reach, which would make it difficult for the ad network to deliver ample impressions and can also reduce the ROI. While creating the advertising campaign, ad networks provide metrics with various estimates such as expected reach, impressions, click-through rate, and cost per click. These figures

[13]https://www.facebook.com/business/help/164749007013531?id=401668390442328 (accessed December 22, 2024).

[14]https://www.invespcro.com/blog/ad-retargeting-2/ (accessed December 22, 2024).

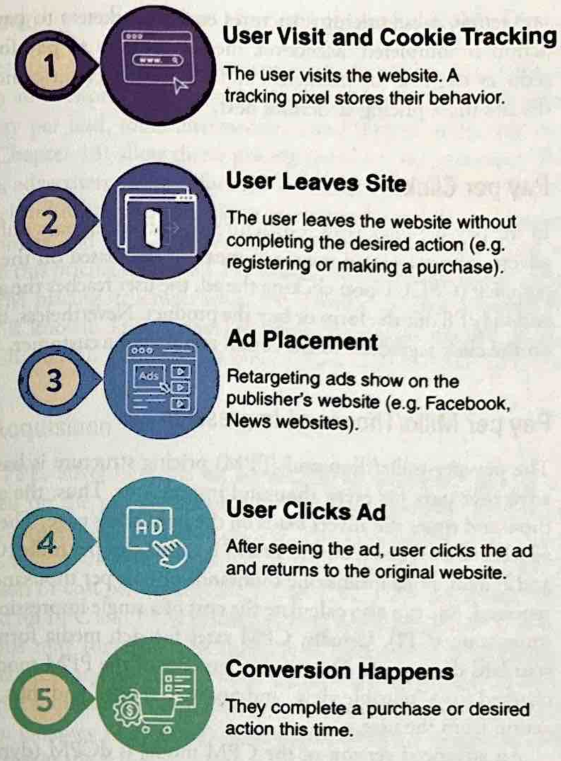

FIGURE 6.4 | Steps involved in running a remarketing ad campaign.

vary depending on the targeting. Knowing how these estimates relate to the chosen targeting options is worthwhile. Some of these details are explained in Chapter 7, which discusses how digital advertising campaigns are executed.

Next, we discuss various models through which digital media can be purchased.

6.10 Advertising Pricing Structures

Digitally, advertising spots can be purchased based on common pricing structures that run across various types of ads. Though different ads have different objectives (discussed in Chapter 7), the prices are often based on the same models. These pricing models are used explicitly in programmatic purchases, now the preferred way of buying ad inventory, surpassing direct purchases.[15] Often dubbed *performance*

[15]https://marketingland.com/the-adtech-trends-rounding-out-2019-programmatic-growth-measurement-standards-privacy-implications-269722 (accessed December 22, 2024).

marketing, these pricing structures enable marketers to pay only when the desired action is completed. Moreover, the opportunity to pay for the appropriate result reduces the risk for marketers and ensures advertising money is not wasted. We discuss these pricing structures next.

Pay per Click

In the pay-per-click (PPC) structure, the advertiser pays only when a user clicks the advert. The associated metric to measure cost based on the PPC model is the cost per click (CPC). Upon clicking the ad, the user reaches the advertiser's landing page and may fill out the form or buy the product. Nevertheless, the advertiser pays based on the click regardless of the action taken by the customer.

Pay per Mille/Thousand Impression

The pay-per-mille/thousand (PPM) pricing structure is based on impressions; the advertiser pays for every thousand impressions. Thus, the advertiser pays for every thousand times the advert loads on the publisher's page. The metric used to measure advertisements based on this model is called cost per mille (CPM) (in Latin, French, and Italian, *mille* means one thousand) or cost per thousand impressions (CPT). If required, one can also calculate the cost of a single impression, referred to as cost per impression (CPI). Usually, CPM rates for rich media formats are higher than for standard display ads. One of the demerits of the PPM model is that advertisers are charged for a "possible view" and not for a "click," and thus, it doesn't guarantee any action from the user.

An advanced version of the CPM model is dCPM (dynamic cost per thousand mille), in which each actual bid amount charged is not limited to the exact bid amount placed. dCPM leverages RTB to optimize ad spending efficiently. For instance, if an advertiser sets a dCPM bid at $6, their DSP can acquire some impressions for as little as $0.40 while paying even up to $2.50 for others. This pricing model relies on the DSP's capability to assess the value of each impression and pay accordingly. By dynamically adjusting bids based on ad performance and relevance, dCPM ensures that the overall campaign cost remains close to the target bid while delivering greater value than a standard CPM campaign.

Pay per Engagement

Pay per engagement (PPE) is a digital marketing pricing model where advertisers pay for specific user interactions with their ads rather than for impressions or clicks. Engagements can include a wide range of actions such as likes, shares, comments, video views, or any interaction, indicating user interest or involvement with the ad content. This model is prevalent on social media platforms, where user interaction is a crucial metric of campaign success.

Pay per Lead

The pay-per-lead model allows advertisers to pay for every qualified lead. Although mainstream ad networks (e.g., Google Ads, Meta Ads) do not currently allow marketers to pay per lead, some intermediaries and referral marketing networks (discussed in Chapter 13) allow direct pricing based on this structure. With cost per lead (CPL), advertisers only pay for leads or contacts that are qualified. Usually, this model is helpful for marketers looking to obtain the contact information of interested customers and then nurture them through other channels. The associated metric with this pricing model is CPL, which can be calculated for campaigns using PPC or PPM pricing structures when the number of leads acquired through such campaigns is known. This is possible when conversion tracking is activated (discussed in Chapter 7). Thus, CPL is more action-oriented than CPC and CPM.

Pay per Acquisition

Similar to PPL, advertisements on significant ad networks can't be directly purchased based on the pay-per-acquisition (PPA) model. Nevertheless, most of the referral marketing uses PPA-based pricing. The associated metric, cost per acquisition (CPA), reflects the cost at which the lead is converted. Thus, CPA is called cost per conversion or cost per order (CPO). Like CPL, CPA can be calculated for campaigns based on PPC and PPM pricing models when actual conversions are known. However, this may sometimes be difficult to understand as consumers often use multiple channels and switch between them, making it difficult to arrive at the actual cost per acquisition. Thus, marketers use multi-channel attribution modeling (discussed in Chapter 11 in detail), which gives different weights to different touch points to arrive at the actual acquisition cost.

In conclusion, it is essential to note that PPC and PPM are the two primary pricing models through which adverts are purchased online. Moreover, though these pricing structures are the basis for bidding strategies, they are not the same as bidding. We will discuss various bidding strategies in Chapter 7. The chapter discusses multiple formulas, the interlink of the above pricing strategies, and overall marketing metrics.

6.11 Digital Advertising Strategy

Previously, we discussed various targeting strategies and pricing options that one can choose from when it comes to digital advertising. This section looks at different aspects of creating an overall digital ad strategy. An ad strategy is a blueprint that discusses how advertising would be carried out to sell a particular product or service to consumers.

A viable advertising strategy is necessary before executing the campaigns (discussed in Chapter 7). Whether the advertising is done in a B2B or B2C context is essential. A company likely has multiple products, which might require numerous ad strategies. That sounds like a lot of work, but don't fret! The steps discussed below outline standard guidelines on how one can arrive at advertising strategy and make this otherwise arduous task a little easier and organized.

Step 1: Conducting Market Analysis

Before designing any marketing strategy, it is essential to understand the market that one is aiming to target. Below are the points a marketer should analyze to determine their target market and customers:

1. Who is most likely to purchase the product?
2. How much of that market is interested in purchasing the product?
3. Are there already any companies offering the same product?
4. What are the marketing strategies of the competitors?
5. Are the strategies of the competitors successful? What new can be offered?

While determining the target market, it's also important to note that not all businesses, products, or services are recession-proof. Hence, it is essential to note the market's current economic condition. Examine the history and significant market trends surrounding the product or service. Investigate the probable risks and opportunities correlating with the product or service. Finally, extrapolate how well the market could receive the product or service. Depending on the market state, one can tweak the marketing strategy or design a new one. By having an overview of the buyer profiles, economic state, trends, and risks, one can create an advertising strategy better positioned to succeed.

Step 2: Integrating Advertising with Cross-Channel Marketing Strategy

Although digital advertising is paramount, it is still one of the elements in the overall digital marketing strategy, which is further a subset of the firm's marketing and overall strategy. Thus, the ad strategy should integrate well with the overall marketing plan. It should ensure that the consumers receive a continuous and relevant message from the ad campaign across all the channels used for advertising. Automation technology makes it possible to some extent, but marketers should make conscious efforts to ensure that all marketing activities, including digital marketing, are brought to fruition.

Step 3: Determining Advertising Objectives

It is essential to establish the advertising goals as they help measure the campaign's performance. The goal could be to increase the product's sales by a certain percentage, enhance brand awareness, gain a new demographic in the customer base, or a combination of these. Also, the formulated goals must meet the SMART criteria, i.e., they should be specific, measurable, achievable, realistic, and time-bound.

Once the goals are set up, it is easy to decide the performance metrics and determine what is working and what is not. If particular ads or campaigns are underperforming, the strategy can be reexamined for flaws and rectified for future campaigns.

Advertising can have multiple goals, which may include:

1. **Getting viewer's attention**: The prime task for an advertisement is to get noticed. However good a brand or offer may be, it won't serve any purpose if it fails to get attention. Thus, one should ensure the ad is catchy and has a compelling heading. For example, the heading "You Might Be Overeating Sugar" will likely appeal to someone trying to reduce weight and selling artificial sweeteners or even to a diet plan.
2. **Prompting immediate action**: Often, one may want immediate action; it could be to motivate a customer to sign up for a free newsletter or to sell an early bird ticket for a concert. Interestingly, an advertiser may retarget customers who have visited the company's website, checked a few products, and want them to buy. To achieve this goal, the advertiser may require an alluring proposition; for example, a water purifier company may get an immediate response from an ad that says, "Just Buy the Purifier, Leave Service on Us. Offer Closes Tonight."
3. **Building brand awareness**: For a new enterprise or a small company, the primary objective could be to increase awareness about the product or service they sell, its features, and the brand name at the initial stage. Thus, the advertising should focus on that. Paying for impressions instead of clicks may be a good idea, as even impressions viewed would help increase awareness.
4. **Increasing sales and profits**: The ultimate objective for most of the advertising campaigns is to generate sales, which would lead to profits. To ensure this, one must ensure that the advertisement is catchy and motivates customers to click on the ad. The headline should convey a strong proposition that is meaningful to the customer. For example, an ad with the heading, "Exclusive Summer Collection On Stands Only for a Week," and an impressive product image can motivate customers looking for exclusive designs to click the ad and buy.

Step 4: Deciding the Advertising Team

The essential part of any advertising strategy is to structure the digital advertising team. The importance of a quality digital marketing team can be understood because the success or failure of the ad campaign is determined by having the right people on the team. The size and composition of the digital marketing team can vary depending on the resources and needs of the company, the types, and several campaigns the company is running, the products, and the overall budget. In many scenarios, a company may outsource some responsibilities to an agency. However, the main agenda of any campaign should be to drive desired results by structuring an efficient team or outsourcing if need be. **Figure 6.5** highlights the key roles typically required in a digital advertising team. Annexure 6.1 further briefs about roles and responsibilities of these individuals.

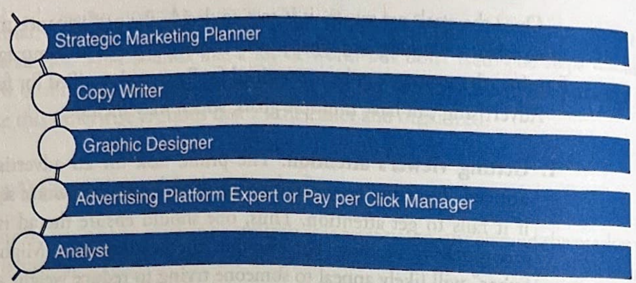

FIGURE 6.5 | Key roles involved in digital advertising.

Step 5: Finalizing the Budget

A budget determines the spending limit of an advertising campaign. It can have multiple levels, starting with the highest overall digital advertising budget and working down to different ad platforms and campaigns. The budget should be in sync with the goal. If the goal is to increase traffic to the website, more budget should be allocated to campaigns with that goal. Ideally, a bigger budget should be allocated to more profitable campaign types. Nevertheless, it is suggested that part of the budget should be assigned to newer campaign types, channels, or targeting options. This would ensure the team is up-to-date with newer ways to advertise, and often, such campaigns deliver high ROI due to reduced competition. Plus, there's always something new to learn that will be helpful next time!

Step 6: Creating Customer Personas and Segments

Customer personas and segments play a pivotal role in digital advertising by enabling marketers to tailor their campaigns to meet their target audience's needs, preferences, and behaviors. A customer persona is a detailed, semi-fictional representation of an ideal customer, crafted based on market research and accurate data about existing customers. These personas provide deep insights into customers' demographics, motivations, challenges, and buying behaviors, allowing advertisers to create highly targeted and personalized marketing messages. Segmentation, conversely, involves dividing a broad audience into smaller, more manageable groups based on shared characteristics such as age, location, purchasing habits, or interests. Advertisers can design campaigns that speak directly to different audience groups' unique desires and pain points using customer personas and segments, enhancing relevance and engagement. This targeted approach improves ad spend efficiency and increases the likelihood of conversion, as customers are more likely to respond to messages that resonate with their specific needs and circumstances. Ultimately, leveraging customer personas and segments helps businesses build stronger connections with their audience, fostering loyalty and driving long-term success. The customer persona creation process has been discussed at length in Chapter 8.

Step 7: Choosing Appropriate Campaigns

Choosing the appropriate digital advertising campaign type involves a thorough understanding of marketing objectives, target audience, budget, and the nature of the product or service. The type of campaigns can vary depending on the goals: whether the aim is to increase brand awareness, drive website traffic, generate leads, or boost sales. Understanding the target audience's demographics, behaviors, and preferences is crucial, as it influences the choice of platforms and ad formats that resonate most effectively. One must also consider the budget, as different campaign types and platforms come with varying costs and pricing models, such as CPM, CPC, or CPA. Analyzing the nature of a product or service helps determine the best medium; for instance, visually rich products might benefit from social media and display ads, while service-oriented offerings might perform better with search ads targeting specific queries. Evaluating past campaign performances and leveraging analytics can also guide what type of campaigns may perform better, thus helping refine the type of advertising used. As discussed earlier, one can choose from multiple types of ad campaigns. This includes search and display ads (both banner and video ads) and various formats and sizes. The advertiser should ensure a proper mix of multiple types of campaigns, and in most cases, investment should not be dedicated to only one kind of advertising. This reduces the risk and gives a chance to experiment and learn.

Step 8: Measuring Performance

Gauging the performance of digital advertising campaigns is critical. With easy traceability and access to data, measuring the performance of digital advertising is comparatively more direct compared to other digital marketing endeavors (such as social media and email marketing) and traditional marketing. Nevertheless, measuring the performance of digital advertising is still challenging, specifically when the buying funnel is long, or the products are sold offline. In a 2018 survey with more than 1,000 SME companies, respondents reported that only 11.5% of respondents were extremely satisfied with their digital marketing (e.g., AdWords, Facebook Ads, and Banner Ads; see **Figure 6.6**). Nevertheless, the company must establish the necessary frameworks and metrics to measure digital advertising performance at quick intervals and compare it with the performance of other digital and traditional marketing activities. We will discuss measuring advertising performance in Chapters 11 and 12.

The above steps provide a detailed understanding of the various activities in creating a digital advertising strategy. Nevertheless, it may require other aspects and knowledge of specific elements and settings on the different advertising platforms (e.g., Google Ads and Meta Ads). We will discuss these executory aspects of digital advertising in Chapters 7 and 8.

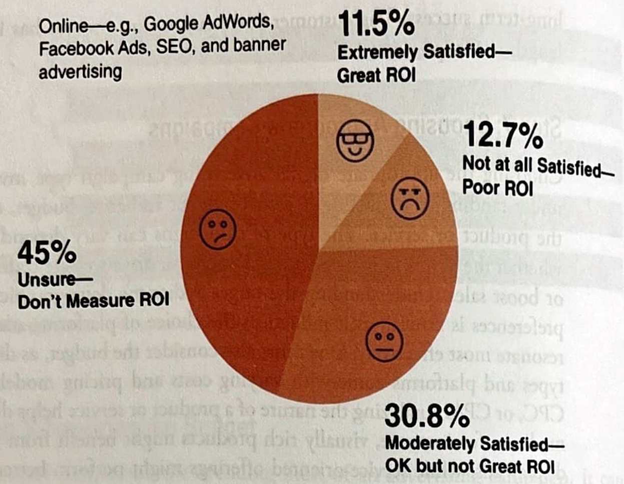

FIGURE 6.6 Satisfaction with ROI of various advertising platforms.
Source: Adapted from https://www.digitalexaminer.com/small-business-marketing-roi/ (accessed December 16, 2024).

SUMMARY

As consumers spend more time online, digital advertising has emerged as one of the most effective ways to reach prospective customers. This chapter explores the evolution of digital advertising and how sophisticated technologies like programmatic advertising and real-time bidding have transformed ad delivery. These automated systems allow advertisers to bid for ad impressions and place ads in optimal locations, ensuring relevance and precision.

The chapter discusses key pricing models, such as pay-per-mille (PPM) and pay-per-click (PPC), and highlights common ad formats, including search ads and display ads like banners and videos. A significant focus is placed on the importance of audience targeting, emphasizing tools that enable advertisers to reach specific demographics, behaviors, and interests. Defining the ideal customer persona and choosing appropriate targeting options are underscored as essential steps for campaign success.

Additionally, the chapter covers the strategic planning required for digital campaigns, including setting objectives, finalizing budgets, and selecting advertising channels. It also highlights the value of native advertising, which integrates promotional content seamlessly into platform aesthetics for a less intrusive user experience. By focusing on aligning campaigns with business goals and leveraging data-driven tools, the chapter provides a solid foundation for running impactful and measurable advertising campaigns.

REVIEW QUESTIONS

1. How has programmatic advertising transformed the digital advertising landscape, and what roles do entities like demand side platforms (DSPs) and supply side platforms (SSPs) play in this process?
2. What are the main differences between search and display advertising, and in what scenarios would each type be more effective?
3. How do advancements in targeting, such as behavioral and geographic targeting, enable advertisers to reach more specific audiences, and what are the potential challenges associated with these methods?
4. What are the critical steps in creating a successful digital advertising strategy, and how do elements like market analysis, customer persona development, and campaign selection contribute to campaign effectiveness?
5. How do pricing models such as pay-per-click (PPC), pay-per-mille (PPM), and pay-per- acquisition (PPA) align with different advertising objectives, and what factors should advertisers consider when choosing a pricing model?

CLASS ACTIVITY

1. Strategic Digital Advertising Challenge

Objective: Participants will design a full-funnel digital advertising campaign to promote a selected product or service. The activity focuses on campaign planning, media selection, audience targeting, creative development, and measurement using real-world frameworks.

Set-up: Divide the class into small teams or allow individuals to work independently. Each team selects a product or service to promote (e.g., fitness app, eco-friendly water bottles, online learning platform) and acts as a digital advertising strategist.

Scenario brief: Each team will follow a structured approach to create a digital advertising campaign plan:

- **Market research:** Conduct a market and competitor analysis to identify the target audience's demographics, preferences, and behaviors. Highlight any industry trends, challenges, or gaps that could shape the campaign strategy.
- **Goal setting:** Define campaign objectives using the SMART framework (Specific, Measurable, Achievable, Relevant, Time-bound). Example: "Increase website traffic by 20% in three months."
- **Ad type and media selection:** Choose the appropriate ad types (e.g., search ads for high intent, display ads for awareness). Justify selection based on audience behavior and campaign goals.
- **Pricing model:** Select a pricing model—PPC (pay per click), CPM (cost per thousand impressions), or CPA (cost per acquisition)—that aligns with the campaign's objectives and explain why.
- **Audience targeting and persona development:** Develop a detailed customer persona that guides targeting strategy. Use demographic, geographic, and behavioral data to define the ideal audience.

- **Creative strategy:** Plan creative assets including headlines, copy, and visuals that align with brand tone and resonate with the target audience. Ensure messaging consistency across platforms.
- **Measurement and evaluation:** Identify KPIs (e.g., CTR, conversion rate, ROAS) and analytics tools (e.g., Google Ads, Meta Ads Manager) to measure campaign performance and make data-driven adjustments.

Each group will present their campaign blueprint, linking strategic choices to marketing outcomes such as traffic growth, brand awareness, or lead generation.

ANNEXURE 6.1

Roles and Responsibilities of Key Members in a Digital Advertising Team

1. **Strategic marketing planner:** Is the brain behind the advertising campaign, responsible for creating a cohesive and impactful strategy.

   Responsibilities include:
   - Conduct market research to identify target audiences, competitors, and trends.
   - Develop marketing objectives and KPIs aligned with the brand's business goals.
   - Create a comprehensive marketing plan, outlining channels, budgets, and timelines.
   - Coordinate with creative and technical teams to ensure campaign consistency.
   - Monitor the campaign's overall progress and make strategic adjustments to maximize impact.
2. **Copywriter:** Is the storyteller who crafts persuasive and engaging text to drive the desired action.

   Responsibilities include:
   - Write ad copy, headlines, taglines, and CTA phrases tailored to the audience.
   - Develop content for emails, landing pages, social media posts, and blogs.
   - Collaborate with designers to align visuals with the written message.
   - Optimize content for search engine optimization (SEO) and readability, ensuring alignment with platform-specific guidelines.
   - Conduct A/B testing on different versions of the copy to measure effectiveness.
3. **Graphic designer:** Is the visual artist who brings the campaign to life through engaging and on-brand visuals.

   Responsibilities include:
   - Create visually appealing assets such as banners, social media graphics, infographics, and videos.
   - Ensure designs adhere to brand guidelines and resonate with the target audience.
   - Optimize visuals for different digital platforms, maintaining high quality across devices.
   - Collaborate with the copywriter to ensure the visuals complement the messaging.
   - Stay updated with design trends and platform specifications to keep campaigns modern and effective.
4. **Advertising platform expert or PPC manager:** Is the technical expert who ensures ads reach the right audience at the right time for the best ROI.

   Responsibilities include:
   - Set up and manage campaigns on platforms like Google Ads, Facebook Ads, LinkedIn, and others.
   - Conduct in-depth keyword research to target high-converting search terms.
   - Optimize ad placements, bidding strategies, and targeting to maximize performance.
   - Monitor campaign budgets and adjust in real time to maintain cost efficiency.
   - Provide metrics such as CTR, CPC, CPA, and ROI, and provide recommendations for continuous improvement.
5. **Analyst:** Is the data-driven expert who interprets performance metrics and provides actionable insights.

   Responsibilities include:
   - Use analytics tools like Google Analytics, Tableau, or Power BI to track campaign performance.
   - Measure and report on KPIs such as impressions, clicks, conversions, and engagement rates.
   - Identify trends, gaps, and opportunities based on data insights.
   - Collaborate with the marketing planner and PPC manager to refine campaign strategies.
   - Create detailed performance reports and visual dashboards to communicate findings to stakeholders.

Thus, every role is intricately connected, ensuring campaigns are thoughtfully planned, creatively executed, and data-driven for maximum effectiveness. A strong synergy between these roles amplifies the campaign's impact, ensuring the message is clear and engaging. This collaborative process fosters innovation and drives results, with each role contributing uniquely to a cycle of testing, learning, and improving. Effective communication and shared goals unify the team, ensuring campaigns achieve measurable business outcomes, such as enhanced brand awareness, lead generation, and conversions, creating a framework for sustained success.